

RBI Holds Repo Rate and Lowers GDP Growth Forecast



Source: TH

Why in News?

In its **June 2026** review, the **Reserve Bank of India's (RBI) Monetary Policy Committee (MPC)** unanimously voted to keep the **policy repo rate unchanged at 5.25%** while revising the FY27 real GDP growth forecast downward to 6.6% and consumer inflation upward to 5.1%, alongside a sweeping suite of joint fiscal and regulatory **measures designed to attract foreign capital and stabilize the domestic currency.**

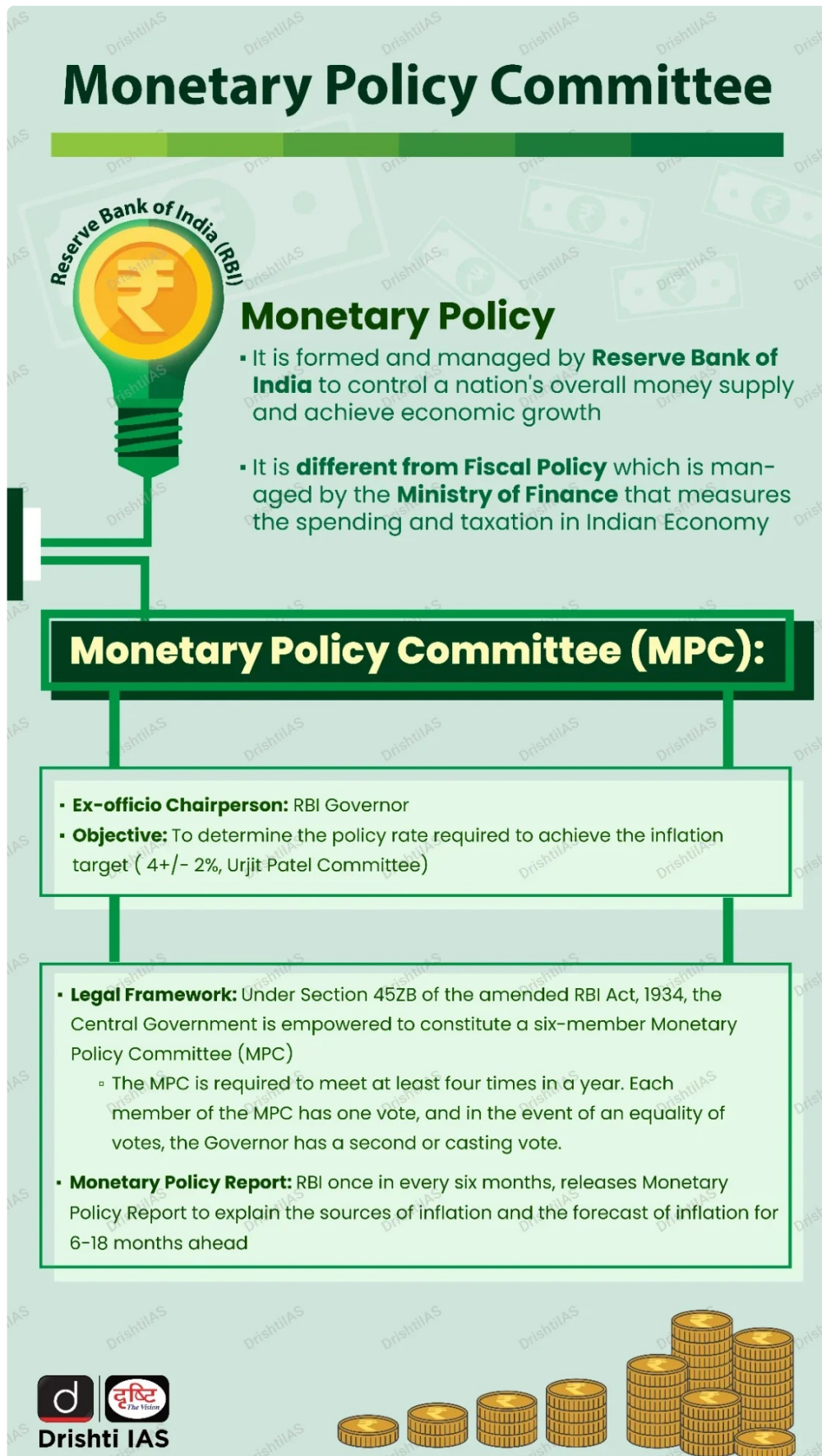
What are the Key Highlights of the RBI's Monetary Policy Committee (June 2026)?

- **Status Quo on Policy Rates:**
 - **Policy Repo Rate:** Retained at 5.25% under the **Liquidity Adjustment Facility (LAF).**
 - **Standing Deposit Facility (SDF) Rate:** Unchanged at 5.00% (acting as the floor of the LAF corridor).
 - **Marginal Standing Facility (MSF) Rate:** Maintained at 5.50% (acting as the ceiling of the LAF corridor).
 - **Bank Rate:** Held steady at 5.50%.
- **Growth Revision:** Projected **Real GDP growth for 2026-27 has been cut to 6.6%** (down from 6.9%).
- **Inflation Projection:** **Headline Consumer Price Index (CPI) inflation forecast has been raised by 50 basis points to 5.1%** for FY27, with **core inflation pegged at 4.7%** .
- **Policy Stance:** The committee decided to continue with its '**Neutral**' stance . This approach keeps the RBI data-dependent, giving it the tactical flexibility to move interest rates in either direction based on incoming macroeconomic indicators without committing to an explicit easing or tightening cycle.

Key Macroeconomic Risks Identified

- **Geopolitical and Input Cost Shocks:** Lingered international conflicts have pushed Indian basket crude oil prices to an average of **USD 110/barrel** during April-May 2026.

- This has increased input costs across industrial plastics, chemicals, and base metals.
- **Climate & Food Uncertainty:** The forecast of a **sub-normal Southwest Monsoon** and emergent **El Niño conditions** has amplified structural risks to agricultural output and rural demand.
- **Second-Round Effects:** The RBI noted that while core pressures are currently manageable, a close vigil is required to **prevent temporary food and energy spikes from embedding into general wages and long-term inflation expectations.**



What Strategic Measures are Being Taken to Attract Foreign Capital and Stabilize the Rupee?

- **LTCG Tax Waiver:** The Government of India has **waived the 12.5% Long-Term Capital Gains (LTCG) tax** and income tax on interest earned by **Foreign Portfolio Investors (FPIs)** on **investments in Government Securities (G-Secs)** , effective retroactively from 1 st April 2026.
 - The measure explicitly aims to insulate the debt market after data revealed that FPIs offloaded over **Rs 2.6 lakh crore in Indian equities** , causing significant **depreciation of the Indian Rupee** , even as they remained net buyers of debt.
- **Expanding the Fully Accessible Route (FAR):** The RBI added **15-year, 30-year, and 40-year tenor G-Secs** , alongside **Sovereign Green Bonds (SGBs)** , into the **FAR framework**, allowing non-residents to invest with **zero quantitative restrictions** .
- **Dismantling General Route Restrictions:** Regulatory caps on short-term investments, concentration limits, and security-wise exposure caps on **FPI investments via the General Route** were completely removed, keeping only the macroscopic ceilings (**6% of outstanding Central G-Secs and 2% of State Government Securities**).
- **Retail Equity Market Liberalization:** Investment limits for **Non-Resident Indians (NRIs)** and **Overseas Citizens of India (OCIs)** in stock-market traded equities without **SEBI registration have been hiked**.
 - This exact parity is also extended to individual **Persons Resident Outside India (PROIs)** under modified **FEMA regulations**.
- **Concessional Forex Swaps:** The central bank will provide **concessional forex swap windows until 30th September 2026** , to subsidize **External Commercial Borrowings (ECBs)** by Public Sector Undertakings (PSUs).
- **FCNR(B) Hedging Subsidy:** Authorized Dealer (AD) banks will receive full hedging cost coverage until 30 th September 2026, for raising fresh **3-to-5-year Foreign Currency Non-Resident (Bank) deposits** .
- **Tightening Trade Realization Timelines:** To secure immediate dollar liquidity inside the banking system, the RBI slashed the mandatory time permitted for the **realization of export proceeds back to 9 months** from the pandemic-era extension of 15 months.
- **Forex Intervention Policy:** Maintaining that the RBI does not target a specific band or level for the exchange rate, the Governor re-emphasized that the massive **foreign exchange reserves buffer** will be actively deployed to **curb excessive volatility and speculative pressures** to preserve orderly market conditions.

Frequently Asked Questions (FAQs)

1. What is the policy repo rate and what decision did the RBI take in June 2026?

The **repo rate** is the rate at which RBI lends short-term funds to commercial banks. In June 2026, the RBI retained it at **5.25%** under the Liquidity Adjustment Facility (LAF).

2. What is the Fully Accessible Route (FAR)?

FAR allows non-resident investors to invest in specified Government Securities without investment limits, thereby enhancing foreign participation in India's debt market.

3. Why did the RBI retain a 'Neutral' policy stance?

A **Neutral stance** provides flexibility to either raise or lower interest rates based on evolving inflation, growth, and financial stability conditions.

4. What measures were announced to attract foreign capital?

Key measures include **LTCG tax exemption on eligible G-Sec investments, expansion of FAR, relaxation of FPI investment restrictions, concessional forex swap facilities, and incentives for FCNR(B) deposits.**

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/gZS7nrXuADE](https://www.youtube.com/embed/gZS7nrXuADE)]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Q. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)? (2017)

1. It decides the RBI's benchmark interest rates.
2. It is a 12-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

- (a) 1 only
- (b) 1 and 2 only
- (c) 3 only
- (d) 2 and 3 only

Ans: (a)

Q. If the RBI decides to adopt an expansionist monetary policy, which of the following would it not do? (2020)

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

- (a) 1 and 2 only
- (b) 2 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: (b)

Q. Which one of the following is not the most likely measure the Government/RBI takes to stop the slide of the Indian rupee? (2019)

- (a) Curbing imports of non-essential goods and promoting exports
- (b) Encouraging Indian borrowers to issue rupee-denominated Masala Bonds
- (c) Easing conditions relating to external commercial borrowing
- (d) Following an expansionary monetary policy

Ans: (d)

Q. Consider the following statements: (2021)

1. The effect of devaluation of a currency is that it necessarily
2. improves the competitiveness of the domestic exports in the foreign markets
3. increases the foreign value of domestic currency
4. improves the trade balance

Which of the above statements is/are correct?

- (a) 1 only
- (b) 1 and 2
- (c) 3 only
- (d) 2 and 3

Ans: (a)

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Q. How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India? (2018)

M1xchange: Trade Receivables Discounting System



M1xchange is a pivotal **Reserve Bank of India (RBI)** -approved digital marketplace operating under the **Trade Receivables Discounting System (TReDS) framework** , designed to address the chronic working capital constraints of Indian MSMEs through transparent, multi-financier invoice discounting.

- **Regulatory Framework:** Authorized by the **RBI in 2015** and established under the **Payment and Settlement System (PSS) Act, 2007** .
- **TReDS** : An RBI-regulated electronic platform in India that enables MSMEs to get **quick working capital** by discounting their invoices raised on large corporates and government buyers.
- **Operational Mechanism:** M1xchange functions as a unified electronic platform connecting three key stakeholders: **MSMEs (Suppliers)** , **Large Corporates/PSUs/Govt. Departments (Buyers)** , and **Banks/NBFCs (Financiers)** .
- **Risk Mitigation:** Provides **collateral-free, non-recourse financing** , protecting MSMEs from buyer default risk. The risk of non-payment is borne by the financier, ensuring **off-balance-sheet funding** for MSMEs.
- **Competitive Discovery:** Employs an open bidding model where Nationalized, Private, and Foreign banks compete, ensuring MSMEs receive the **lowest and most competitive interest rates** .
- **Mandatory Compliance:** The Department of MSME has mandated **TReDS registration for all companies with a turnover exceeding INR 250 crores** and all Central Public Sector Enterprises (CPSEs), monitored by the Registrar of Companies (RoC).
- **Stakeholder Benefits:**
 - **MSMEs:** Rapid **disbursement (often within 24 hours)** , early payment, and off-balance-sheet funding.
 - **Corporates** : Reduced procurement costs via improved vendor negotiation.
 - **Financiers:** Ability to seamlessly build their **Priority Sector Lending (PSL)** asset portfolio.
- **Technological Edge:** Facilitates an **end-to-end paperless, 100% secure digital onboarding** and transaction process, ensuring the authenticity of all underlying invoices.
- **M1NXT ITFS:** M1xchange has launched **M1NXT ITFS** in **GIFT City** (Gujarat), India's first International Trade Financing Services (ITFS) platform, to provide Indian MSMEs access to global factoring and trade finance services.
 - The platform enables **foreign banks and international financiers** to offer working capital financing to Indian MSMEs at competitive rates, bringing global liquidity into the MSME ecosystem.

Read more: [Scaling India's MSME Growth](#)

Kerala Launches India's 1st Judiciary-Integrated Wildlife Crime System



Source: [TH](#)

Recently, the **Kerala Forest Department** launched the **e-court integration feature** for its **HAWK** (Hostile Activity Watch Kernel) system, making Kerala the first State in India to achieve a fully digitised, judiciary-integrated wildlife offence management system.

- **HAWK:** HAWK is a **cloud-based information management system** that maintains interlinked databases of wildlife crimes, offenders, and wildlife mortality, **offering ecological intelligence** and comprehensive case management support to forest officials.
 - The system was developed to **track repeat offenders**, centralise data, and **eliminate information gaps across the state** for more effective wildlife crime monitoring and prevention.
- **Development:** HAWK was developed collaboratively by the **Kerala Forest Department and the Wildlife Trust of India (WTI)** . Its development began in 2017, officially launched in Kerala in 2019, and later expanded to Karnataka (2022), Tamil Nadu (2025), and Odisha (2025).
- **E-Court Integration:** The system now integrates digitally with the judiciary via an **Application Programming Interface (API)**, eliminating paper-based submissions and enabling real-time tracking of case files, from **Preliminary Offence Reports (POR)** to court verdicts and witness testimonies.
- **Scalability & Customisation:** The Enterprise Resource Planning(ERP)-model system is **modular and scalable**, allowing states to adapt it to their procedural needs, regional languages, and evolving requirements, while maintaining a **unified centralised database** .



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Launch of
GARUDAKSHI**HAWK**

Hostile Activity Watch Kernel

India's 1st
Centralised Wildlife Crime Management System

HAWK is a first-of-its-kind digital platform launched by Kerala to strengthen wildlife crime investigation, prosecution, and ecological intelligence through judiciary integration.

Read More: [A Wake-Up Call for India's Wildlife Governance](#)